APPLICABLE TAX RATES

The cutoff date for legislation is 30 June 2023 for your academic purposes i.e., CTA 2024 exams and the following rates apply accordingly:

Tax Tables

Segment of income per annum (ZWL)	Amount (ZWL)	Rate within segment (%)	Tax	Cumulative tax
Up to 1,100,000	1,100,000	0%	0	0
1,100,001 to 3,840,000	3,840,000	20%	548,000	548,000
3,840,001 to 6,576,000	6,576,000	25%	684,000	1,232,000
6,576,001 to 9,312,000	9,312,000	30%	820,800	2,052,800
9,312,001 to 12,000,000	12,000,000	35%	940,800	2,993,600
12,000,001 and above		40%		
Segment of income per annum (USD)	**Amount (USD)**	**Rate within segment (%)**	**Tax**	**Cumulative tax**
Up to 1,200	1,200	0%	0	0
1,201 to 3,600	3,600	20%	480	480
3,601 to 12,000	12,000	25%	2,100	2,580
12,001 to 24,000	24,000	30%	3,600	6,180
24,001 to 36,000	36,000	35%	4,200	10,380
36,001 and above		40%		

Motoring Benefits (Income Tax Act Section 8(1)(f)(xi)

Engine Capacity	USD$ Deemed Value per Annum 2023	ZWL$ Deemed Value per Annum 2023
Up to 1,500cc	625	312,500
Over 1,500cc – 2,000cc	830	415,000
Over 2,000cc – 3,000cc	1,250	625,000
Over 3,000cc	1,660	830,000

Tax Credits (Finance Act section 7)

CREDIT	ZWL	US$
Elderly	450,000	900
Physically and mentally	450,000	900
Blind	450,000	900

Pension and Retirement Annuity Funds Contributions

Fund	Maximum ZWL	Maximum
In relation to an employee: Pension fund contributions other than to a RAF. 6th schedule para 15	The lesser of ZWL1,500,000 per annum or 7.5% of the members emoluments.	US$5,400 per annum
In relation to an employer: Pension fund contributions other than to a RAF. 6th schedule para 10	The lesser of contributions or ZWL1,500,000	US$5,400 per annum
Employee RAF contributions.6th schedule para. 16	The lesser of ZWL1,500,000 per annum or 7.5% of the members emoluments.	US$5,400 per annum
Employer RAF contributions.	Disallowed.	
Aggregate maximum contributions to two or more pension funds other than RAFs.6th schedule para 18(2)	ZWL1,500,000	US$5,400 per annum
Aggregate maximum contributions to two or more RAFs. 6th schedule para 18(2)	The lesser of sum of contributions or ZWL1,500,000	US$5,400 per annum

Pension Funds Summary

INCOME	AGE OF TAXPAYER	EXEMPT PORTION	SUPPORTING LEGISLATION
Commutation from RAF	<55	1/3 of Commutation	8(1)(n)
Commutation from Pension Fund (PF) including RAF	>55	Whole amount is exempt	S14(1) a.r.w 3rd Schedule p6(h1)
Commutation of PF or CRF excluding RAF not due to of Retrenchment	<55	No exemption – whole amount is taxable	8(1)(r)
Retrenchment package (severance pay, gratuity or similar benefits on employment cessation due to **retrenchment**)	No age limit	The greater of 5,000,000 (USD10,000) or 1/3 of up to 18,750,000 (USD37,500)	Section 14(1) a.r.w 3rd Scheule p4(p)

Loans (fringe benefit)

In USD$

The deemed benefit per annum is calculated at the rate of LIBOR plus 5% of the amount of the loan. The LIBOR rate for 2022 and beyond is assumed at 1% unless stated otherwise in the scenario/required.

In ZWL$

For loans received in ZWL, there will only be a benefit if the loan is above ZWL$8,000 and if the interest rate is above 15%. Therefore, the interest benefit would be the difference of the interest rate given and 15%.

Companies

Basic Income Tax Rate – 25%

Manufacturing company exporting at least:

- 30% of output (by quantity or volume) – 20%
- 41% of output (by quantity or volume) - 17.5%
- 51% of output (by quantity or volume) - 15%

Mining companies – 25%

Special mining lease companies – 15%*

Plus 3% AIDS levy (This levy applies only on basic Income, Mining income and Special mining lease company.

Capital Allowances

Maximum deemed costs to be used in determining capital allowances. 4th Schedule

Asset	Deemed Cost (USD)	Deemed Cost (ZWL)	Paragraph
PMV	10,000	5,000,000	14(1)m
Staff House	25,000	12,500,000	1(q)
School, clinic, hospital and nursing homes	10,000	5,000,000	15(2)

Special Mining Operations (Income Tax Act 22nd Schedule)

Asset	Deemed Cost (USD)	Deemed Cost (ZWL)	Paragraph
Residential Unit erected on or after 1stJanuary 2018 used for housing the holder's employees.	25,000	12,500,000	6 (2)(f)(v)
Passenger motor vehicle purchased on or after 1stJanuary 2009	10,000	5,000,000	6 (2)(g)(v)

Residential unit used by employees at the school, hospital, nursing home or clinic	10,000	5,000,000	6 (2)(h)(ii)

Rates of capital allowances

1. Special Initial Allowance (SIA) – 25%

   Accelerated Wear and Tear – 25%

2. Wear and Tear on:
   - Industrial buildings – 5%
   - Farm Buildings – 5%
   - Commercial buildings – 2.5%
   - Motor Vehicles – 20%
   - Movable assets (general rate) – 10%

Capital Gains Tax (Finance Act Section 38)

Type of Asset	Date Acquired	Rate
Listed Marketable Securities	N/A	Exempt
Unlisted Marketable Securities	Before 22/02/2019	5% (On gross proceeds)
Unlisted Marketable Securities	After 22/02/2019	20%
Immovable Properties	Before 22/02/2019	5% (on Gross Proceeds)
Immovable Properties	After 22/02/2019	20% after the deductions

Capital Gains Withholding Tax on Sales Proceeds (Finance Act Section 39)

Immovable Property	After 22/02/2019	15%
Immovable Property	Before 22/02/2019	5%
listed marketable securities	N/A	1% (final tax)

Unlisted securities	marketable	After 22/02/2019	5%
Unlisted securities	marketable	Before 22/02/2019	5%

Withholding Taxes (Finance Act)

Description	Rate	Section
On contracts without a tax clearance certificate	30%	
Residential Shareholder's tax from listed Entities	10%	17(a)
Residential Shareholder's tax from Other Entities	15%	17(b)
Non-Resident Shareholders' tax (listed entities other than on the VFEX)	10%	15(a)
Non-Resident Shareholders' tax (Unlisted Entities)	15%	15(c)
Non-Resident Shareholders' tax (Entities listed on the VFEX)	5%	15(b)
Non-Residents' tax on Fees	15%	19
Non-Residents' tax on Remittances	15%	20
Non-Residents' tax on Royalties	15%	21
Residents' tax on Interest (For Loans with a fixed term deposit and a tenure of at least 90 days)	5%	22(a)
Residents' tax on interest (Others)	15%	22(b)

VAT

VAT rate is 15%

Deferment of VAT Threshold increased from US$500,000 to US$1,000,000 for importation of capital goods in specified industries effective from 1 January 2023.

VAT Registration Threshold is US$40,000 or ZWL4,800,000 (Section 23(1)a).